

Statistical Mechanics of Money:

Applying Statistical Mechanics
to Economic Dynamics via Agent-Based Simulation

Code link:

<https://github.com/giacomells/Statistical-Mechanics-of-Money>

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Abstract

Econophysics is a field that applies concepts from statistical mechanics to economic systems, particularly in understanding money distribution among interacting agents. This field employs agent based simulations to validate theoretical predictions, providing insights into the dynamics of economic systems through the lens of statistical mechanics.

The first basic assumption is that money is a conserved quantity during transactions, similar to energy in physical systems. The equilibrium distribution of money can be derived by maximizing Gibbs entropy under the constraint of total money conservation. Three different models of money distribution are considered: one without debt, one with debt, and one with proportional money transfers based on how much money each agent is eager to pay.

Then a more complex model is considered, where the wealth of each agent evolves according to a stochastic differential equation, leading to an inverse-gamma distribution of wealth.

1 Introduction

The applicability of **statistical mechanics** to economic systems, specifically how money distribution in a society of interacting economic agents follows the **Boltzmann-Gibbs distribution**. [1, 2] This is a principle from thermodynamics and statistical physics. The assumption is that money, like energy in a physical system, is conserved during transactions between agents.

The equilibrium distribution can be characterized by maximizing **Gibbs entropy** subject to the relevant constraints. Although random transactions define a **Markov process**, this alone does not imply convergence to equilibrium or a monotonic increase in Shannon/Gibbs entropy. For a time homogeneous Markov process with an invariant equilibrium distribution, the relative entropy of the evolving distribution with respect to that equilibrium is non-increasing; detailed balance is a common additional condition that ensures reversibility. In the models studied here, the equilibrium distribution provides a framework for analyzing how inequality and wealth concentration can emerge from random transactions, analogously to equilibrium behavior in physical systems.

This research connects fundamental concepts from statistical mechanics from Markov processes, Boltzmann-Gibbs distributions, Gibbs entropy, and dynamical systems theory to economics and the so-called "econophysics" or "social physics", providing a computational validation of theoretical predictions.

1.1 Motivation

The term "econophysics" was introduced by analogy with similar terms, such as astrophysics, geophysics, and biophysics, which describe applications of physics to different fields.

It should be emphasized that econophysics does not literally apply the laws of physics, such as Newton's laws or quantum mechanics, to humans, but rather uses mathematical methods developed in statistical physics to study properties of complex economic systems consisting of a large number of humans. So, it may be considered as an applica-

tion of probability theory. Econophysics distances itself from the verbose, narrative, and ideological style of political economy and is closer to econometrics in its focus. Studying mathematical models of a large number of interacting economic agents, econophysics has much common ground with the agent-based modeling and simulation [3].

1.2 Boltzmann-Gibbs Distribution of energy

The fundamental law of equilibrium statistical mechanics is the Boltzmann-Gibbs distribution. It states that the probability $P(\varepsilon)$ of finding a physical system or subsystem in a state with the energy ε is given by the exponential function where $g(\varepsilon)$ is the density of states.

$$P(\varepsilon) \propto g(\varepsilon)e^{-\varepsilon/T}, \quad (1)$$

where T is the temperature of the system. Here we set the Boltzmann constant k_B to unity by choosing the energy units for measuring the physical temperature T . Then, the expectation value of any physical variable x can be obtained as

$$\langle x \rangle = \frac{\sum_k x_k e^{-\varepsilon_k/T}}{\sum_k e^{-\varepsilon_k/T}}, \quad (2)$$

where the sum is taken over all states of the system. Temperature is equal to the average energy per particle: $T \sim \langle \varepsilon \rangle$.

Equation (1) can be derived in different way. One of the shortest derivations can be summarized as follows. Let us divide the system into two (generally unequal) parts. Then, the total energy is the sum of the parts: $\varepsilon = \varepsilon_1 + \varepsilon_2$, whereas the probability is the product of probabilities: $P(\varepsilon) = P(\varepsilon_1)P(\varepsilon_2)$. The only solution of these two equations is the exponential function (1).

A more sophisticated derivation, proposed by Boltzmann himself, uses the concept of **entropy**. Let us consider N particles with the total energy E . Let us divide the energy axis into small intervals (bins) of width $\Delta\varepsilon$ and count the number of particles N_k having the energies from ε_k to $\varepsilon_k + \Delta\varepsilon$. The ratio $N_k/N = P_k$ gives the probability for a particle to have the energy ε_k . Let us now calculate the **multiplicity** W , which is the number of

permutations of the particles between different energy bins such that the occupation numbers of the bins do not change. This quantity is given by the combinatorial formula in terms of the factorials

$$W = \frac{N!}{N_1!N_2!N_3!\dots}. \quad (3)$$

The logarithm of multiplicity is called the entropy $S = \ln W$. In the limit of large numbers, the entropy per particle can be written in the following form using the Stirling approximation for the factorials

$$\frac{S}{N} = - \sum_k \frac{N_k}{N} \ln \left(\frac{N_k}{N} \right) = - \sum_k P_k \ln P_k. \quad (4)$$

Now we would like to find what distribution of particles between different energy states has the highest entropy, i.e., the highest multiplicity, provided that the total energy of the system,

$$E = \sum_k N_k \varepsilon_k, \quad (5)$$

has a fixed value. Solution of this problem can be easily obtained using the method of Lagrange multipliers [4], and the answer gives the exponential distribution (1).

The same result can be derived from the **ergodic theory**, which says that the many-body system occupies all possible states of a given total energy with equal probabilities. Then it is straightforward to show [4] that the probability distribution of the energy of an individual particle is given by Eq. (1).

2 Model and Theory

As previously discussed, we can assume that agents can be modeled as particles in a closed system, where money is conserved. Instead of exchanging energy, agents exchange money through random transactions. The system evolves through random transactions, forming a Markov process. The theoretical framework predicts that the wealth distribution converges to the Boltzmann-Gibbs distribution, with entropy increasing over time until a stationary distribution is reached.

2.1 Conservation of Money

One could assume that Boltzmann's derivation of the energy distribution can be applied to other statistical systems with a conserved quantity, such as money. Indeed, we can consider the economy as a closed system with a fixed number of agents N and a total amount of money M . Therefore, the total money in the system is conserved. As a starting point, we can consider a simple model where agents exchange money through random transactions, and the total amount of money remains constant.

Introducing the concept of money conservation we can assume the model **without debt**, where agents cannot have negative balances. So the conditions for this model are:

- $\sum_{i=1}^N m_i = M$.
- $m_i \geq 0$, for $i = 1, \dots, N$.
- $\delta m_i = -\delta m_j$, for $i \neq j$.
- $\delta_m < m_i$.

2.2 Boltzmann-Gibbs Distribution of Money

As argued in previous section, we can associate the money distribution to the energy exchange in a physical system. For this reason, we can assume that the probability of finding an agent with money m is given by the Boltzmann-Gibbs distribution:

$$P(m) = ce^{-m/T}, \quad (6)$$

where c is a normalization constant derived from the assumption that the density of states is constant, and T is the effective temperature of the system: $T = M/N$, which is average money per agent.

Later on it will be discussed how the richer agents don't really follow Boltzmann-Gibbs distribution, but they follow a power law distribution, as observed in real economies.

2.3 The different models

Different assumptions were made in the literature to model the money exchange between agents. The

aim is to find a model that can reproduce the empirical wealth distribution observed in real economies.

2.3.1 Transaction Mechanisms

Many different kinds of transactions can be considered, such as:

- **Constant transactions:** $\Delta m = \text{const}$ where a fixed amount of money is exchanged between agents.
- **Fractional transactions** where a fraction γ of the agent's money is exchanged, the two agents will exchange only a portion of their money. This mechanism show how richer agents can exchange more money than poorer agents, and it is more realistic.

Obviously, the transaction is accepted only if the payer has sufficient funds in the chosen pool.

2.3.2 Model without debt

The simplest model has constant transactions and no debt can be accumulated. This model leads to the Boltzmann-Gibbs distribution as previously discussed.

2.3.3 Model with debt

The exact mechanisms of limiting debt in the real economy are complicated and obscured. In this scenario, debt is introduced in the model [5]. Debt may be considered as negative money. When an agent borrows money from a bank (considered here as a big reservoir of money), the cash balance of the agent (positive money) increases, but the agent also acquires a debt obligation (negative money), so the total balance (net worth) of the agent remains the same, and the conservation law of total money (positive and negative) is satisfied. Any stable economic system must have a mechanism preventing unlimited borrowing and unlimited debt. Otherwise, agents can buy any products without producing anything in exchange by simply going into unlimited debt.

A simple model was considered where the maximal debt of any agent is limited by a certain

amount m_d . This means that the boundary condition $m_i \geq 0$ is now replaced by the condition $m_i \geq -m_d$ for all agents i . Not surprisingly, the stationary money distribution again has the exponential shape, but now with the boundary condition at $m = -m_d$ and the higher money temperature

$$T_d = m_d + \frac{M}{N}. \quad (7)$$

By allowing agents to go into debt up to m_d , we effectively increase the amount of money available to each agent by m_d . So, the money temperature, which is equal to the average amount of effectively available money per agent, increases. Therefore, we see that debt does not violate the conservation law of money, but rather modifies boundary conditions for $P(m)$.

2.3.4 Proportional transfers

A different model [6] was introduced as a concept of saving propensity, it has the name of multiplicative asset exchange model. This model perfectly fits the money conservation, thus it considers that agents will exchange only a fraction of their money, and the rest will be saved. To make it simple, each agent exchanges a fraction γ of their money, where γ is a fixed number between 0 and 1:

$$\Delta m = \gamma m_i. \quad (8)$$

In this model, the stationary distribution of money is not the Boltzmann-Gibbs distribution, but a Gamma like distribution:

$$P(m) = cm^\beta e^{-m/T}, \quad (9)$$

where it differs from the exponential distribution (Eq. 6) by the power law factor m^β , where β is a parameter that depends on γ . From Boltzmann-Gibbs kinetic theory that is discussed in 2.4, [6] derived the relation between β and γ :

$$\beta = -1 - \ln(2)/\ln(1 - \gamma). \quad (10)$$

which shows that if payers spend a relatively small fraction of their money, $\gamma < 1/2$, then the low money population is suppressed $P(m = 0) \rightarrow 0$.

This transactional model has a difference with respect to the previous ones: the transactions are not reversible, indeed when an agent i gives a fixed fraction γ of his money m_i to an agent with balance m_j , their balances become $(1-\gamma)m_i$ and $m_j+\gamma m_i$. If we try to reverse this process and appoint the agent j to be the payer and to give the fraction γ of her money, $\gamma(m_j+\gamma m_i)$, to the agent i , the system does not return to the original configuration $[m_i, m_j]$. This is better discussed in the next section (2.4), where the non-equilibrium dynamics of the system is analyzed.

2.4 Non-equilibrium dynamics

We can study the evolution of the system that is not in equilibrium, and we can analyze the time-dependent behavior of the system starting from the Boltzmann kinetic equation [7]:

$$\begin{aligned} \frac{\partial P(m, t)}{\partial t} = & \int_0^\infty \int_0^\infty \left[-f_{m, m' \rightarrow m-\Delta, m'+\Delta} P(m) P(m') + \right. \\ & \left. + f_{m-\Delta, m'+\Delta \rightarrow m, m'} P(m-\Delta) P(m'+\Delta) \right] dm' d\Delta \end{aligned} \quad (11)$$

Here $f_{[m, m'] \rightarrow [m-\Delta, m'+\Delta]}$ is the transition rate density for a transaction of money Δ from an agent with money m to an agent with money m' per unit time. This probability, multiplied by the densities $P(m)$ and $P(m')$, gives the rate of transitions from the state $[m, m']$ to the state $[m-\Delta, m'+\Delta]$. The first term in Eq. (11) gives the depopulation rate of the state m . The second term in Eq. (11) describes the reversed process, where the occupation number $P(m)$ increases. When the two terms are equal, the direct and reversed transitions cancel each other statistically, and the probability distribution is stationary: $dP(m)/dt = 0$. This is the principle of detailed balance.

In physics, the fundamental microscopic equations of motion of particles obey time-reversal symmetry. This means that the probabilities of the direct and reversed processes are exactly equal:

$$f_{[m, m'] \rightarrow [m-\Delta, m'+\Delta]} = f_{[m-\Delta, m'+\Delta] \rightarrow [m, m']}. \quad (12)$$

When Eq. (11) is satisfied, the detailed balance condition for Eq. (11) reduces to the equation $P(m)P(m') = P(m-\Delta)P(m'+\Delta)$, because the factors f cancel out. The only solution of this equation is the exponential function $P(m) = c \exp(-m/T_m)$. So the Boltzmann-Gibbs distribution is the stationary solution of the Boltzmann kinetic equation.

As previously discussed, in the case of proportional transfers (8), the time-reversal symmetry is broken, and the stationary distribution is indeed not a Boltzmann-Gibbs distribution, but a Gamma distribution. Indeed the payer pays a deterministic fraction of his money, but the receiver receives a random amount from a random agent, so their roles are not interchangeable. Therefore, the stationary distribution $P(m)$ in multiplicative models is typically not exactly exponential.

These examples show that the Boltzmann-Gibbs distribution is not valid for any conservative model. For the class of random, money conserving exchange models considered here, when the transition rates satisfy detailed balance, the stationary distribution is exponential.

2.5 Statistical Mechanics of Wealth

One can argue that wealth w_i is equal to money m_i plus the other property that an agent i has. Money (paper cash, bank accounts) is generally liquid and countable. However, the other property is not immediately liquid and has to be sold first (converted into money) to be used for other purchases. In order to estimate the monetary value of property, one needs to know the price p . In the simplest model, let us consider just one type of property, say, stocks s . Then the wealth of an agent i is given by the formula

$$w_i = m_i + p s_i, \quad (13)$$

where s_i is the number of stocks owned by the agent i . It is assumed that the price p is the same for all agents.

It is reasonable to start with a model where both the total money $M = \sum_i m_i = \text{const}$ and the total stock $S = \sum_i s_i = \text{const}$ are conserved while the total wealth $W = \sum_i w_i = M + p(t)S$ is not necessarily conserved. Although M and S are con-

served, the total wealth $W = \sum_i w_i$ is generally not conserved, because of price fluctuation. Here the wealth w_i of an agent i , not participating in any transactions, may change when transactions between other agents establish a new price p . Moreover, the wealth w_i of an agent i does not change after a transaction with an agent j . Indeed, in exchange for paying money Δm , agent i receives the stock $\Delta s = \Delta m/p$, so her total wealth remains the same. In principle, the agent can instantaneously sell the stock back at the same price and recover the money paid.

Many models ([8–10]) that aim to describe the price fluctuations of p introducing a demand-supply mechanism, where the price is determined by the balance between supply and demand, demonstrated via computer simulations and proved analytically using the theory of Markov processes that the stationary distribution $P(w)$ of wealth w is given by a Gamma like distribution.

2.5.1 Wealth growth as a stochastic process

Although the total wealth W is not conserved because of the price p fluctuations, we can consider it as a stochastic process anyway because the total money M and the total number of stocks S are conserved. Allegedly the evolution of the wealth w_i of an agent i can be described by a stochastic differential equation [11]:

$$\frac{dw_i}{dt} = \eta_i(t) w_i + \sum_{j(\neq i)} J_{ij} w_j - \sum_{j(\neq i)} J_{ji} w_i, \quad (14)$$

where $\eta_i(t)$ is a Gaussian white noise with mean $\langle \eta \rangle$ and variance $2\sigma^2$, which describes the growth of wealth due to investment in stock market. We write

$$\eta_i(t) = \langle \eta \rangle + \sqrt{2\sigma^2} \xi_i(t), \quad (15)$$

where

$$\langle \xi_i(t) \rangle = 0, \quad \langle \xi_i(t) \xi_j(t') \rangle = \delta_{ij} \delta(t - t'). \quad (16)$$

Equivalently,

$$\langle [\eta_i(t) - \langle \eta \rangle][\eta_j(t') - \langle \eta \rangle] \rangle = 2\sigma^2 \delta_{ij} \delta(t - t'). \quad (17)$$

We can consider Eq. (14) as a Stochastic Generalized Lotka-Volterra model. The last two terms of the Eq. (14) describe the exchange of wealth between two agents i and j , where the transaction is proportional to the wealth of the payer with the coefficients J_{ij} . So, the model (14) is multiplicative and invariant under the scale transformation. For simplicity, the exchange fractions are taken to be the same for all agents: $J_{ij} = J/N$ for all $i \neq j$, where N is the total number of agents. In this case, the last two terms in Eq. (14) can be written as $J(\langle w \rangle - w_i)$, where $\langle w \rangle = \sum_i w_i/N$ is the average wealth per agent. This case represents a “mean-field” model, where all agents feel the same environment. Consequently, defining the average wealth as

$$\langle w \rangle_t = \frac{1}{N} \sum_{i=1}^N w_i(t), \quad (18)$$

the exchange terms cancel when Eq. (14) is summed over all agents, giving

$$\frac{d\langle w \rangle_t}{dt} = \frac{1}{N} \sum_{i=1}^N \eta_i(t) w_i(t), \quad (19)$$

which is the instantaneous evolution of the population average.

The exchange terms do not change the growth of the average, so it suffices to study the multiplicative part of Eq. (14) for a single agent. If the fluctuations $\eta_i(t)$ are sufficiently rapid and their correlation time is short compared with the timescale of wealth evolution, they can be approximated by a multiplicative white noise ([12, 13]).

Using the Stratonovich convention, the wealth of an agent then satisfies

$$dw = \langle \eta \rangle w dt + \sqrt{2\sigma^2} w \circ dW_t, \quad (20)$$

where W_t is a Wiener process and $\circ$ denotes the Stratonovich interpretation ([14]).

2.5.2 Stratonovich and Itô Interpretations

For the multiplicative stochastic equation

$$dw = \langle \eta \rangle w dt + \sqrt{2\sigma^2} w \circ dW_t, \quad (21)$$

the Stratonovich interpretation allows the use of the usual chain rule. Dividing by w and integrating gives

$$\ln \frac{w(t)}{w_0} = \langle \eta \rangle t + \sqrt{2\sigma^2} W_t, \quad (22)$$

and therefore

$$w(t) = w_0 \exp \left[\langle \eta \rangle t + \sqrt{2\sigma^2} W_t \right]. \quad (23)$$

Since W_t is a Gaussian random variable with variance t ,

$$\langle e^{aW_t} \rangle = e^{a^2 t/2}. \quad (24)$$

Taking $a = \sqrt{2\sigma^2}$ yields

$$\langle w(t) \rangle = w_0 e^{(\langle \eta \rangle + \sigma^2)t}. \quad (25)$$

The appearance of the additional σ^2 term can also be understood by converting the Stratonovich equation into its equivalent Itô form ([15, 16]). For a general Stratonovich stochastic differential equation

$$dx = a(x) dt + b(x) \circ dW_t, \quad (26)$$

the corresponding Itô equation is

$$dx = \left[a(x) + \frac{1}{2} b(x) b'(x) \right] dt + b(x) dW_t. \quad (27)$$

In the present case,

$$b(w) = \sqrt{2\sigma^2} w, \quad (28)$$

so that

$$\frac{1}{2} b(w) b'(w) = \sigma^2 w. \quad (29)$$

Consequently, the Itô equivalent is

$$dw = (\langle \eta \rangle + \sigma^2) w dt + \sqrt{2\sigma^2} w dW_t. \quad (30)$$

Thus, the stochastic correction σ^2 is a consequence of the multiplicative nature of the white noise and the conversion between the Stratonovich and Itô conventions.

The additional term σ^2 arises from the multiplicative nature of the stochastic fluctuations. Although the noise has zero mean, the wealth depends exponentially on the stochastic variable, and therefore $\langle e^\xi \rangle \neq e^{\langle \xi \rangle}$.

Finally, it makes sense to consider the relative

wealth $\tilde{w}_i = w_i / \langle w \rangle_t$. Eq. (14) for this variable becomes

$$\frac{d\tilde{w}_i}{dt} = (\eta_i(t) - \langle \eta \rangle - \sigma^2) \tilde{w}_i + J(1 - \tilde{w}_i). \quad (31)$$

Substituting $\eta_i(t) - \langle \eta \rangle = \sqrt{2\sigma^2} \xi_i(t)$, with $\xi_i(t) dt = dW_i(t)$ and using the Stratonovich-to-Itô drift correction that is

$$\frac{1}{2} b(\tilde{w}_i) b'(\tilde{w}_i) = \sigma^2 \tilde{w}_i, \quad b(\tilde{w}_i) = \sqrt{2\sigma^2} \tilde{w}_i. \quad (32)$$

it cancels the explicit $-\sigma^2 \tilde{w}_i$ drift in Eq. (31), yielding the equivalent Itô differential equation for the relative wealth $\tilde{w}_i$

$$d\tilde{w}_i = J(1 - \tilde{w}_i) dt + \sqrt{2\sigma^2} \tilde{w}_i dW_i(t). \quad (33)$$

The probability distribution $P(\tilde{w}, t)$ for the stochastic differential equation (31) is governed by the Fokker-Planck equation

$$\frac{\partial P}{\partial t} = \frac{\partial [J(\tilde{w} - 1) + \sigma^2 \tilde{w}] P}{\partial \tilde{w}} + \sigma^2 \frac{\partial}{\partial \tilde{w}} \left(\tilde{w} \frac{\partial (\tilde{w} P)}{\partial \tilde{w}} \right). \quad (34)$$

The stationary solution ($\partial P / \partial t = 0$) of this equation is given by the following formula

$$P(\tilde{w}) = c \tilde{w}^{-(2+J/\sigma^2)} e^{-J/\sigma^2 \tilde{w}}, \quad (35)$$

therefore, because the stochastic fluctuations are proportional to the current wealth, the model is multiplicative. This is an inverse Gamma distribution, which is a power law distribution with an exponential cutoff. In particular, it combines a power-law tail for large wealth with an exponential suppression of very small wealth.

3 Results

The first three scenarios are simulated using a Monte Carlo method, where agents are randomly selected to interact with each other. In particular the models used were one without debt and one with debt both with fixed transactions and one with proportional money transfers but no debt. The last scenario is simulated using a stochastic process, where the wealth of each agent evolves according to a stochastic differential equation. The results of the simulations are compared with the theoretical predictions of the Boltzmann-Gibbs distribution, the Gamma distribution and the inverse-gamma distribution.

3.1 Basic Money Distribution

In this scenario, we consider a simple model of money distribution among agents without debt. The total money of the system is conserved, and no agent can have a negative balance. The agents engage with each other randomly but always with a fixed amount of money in each transaction. It is possible to see the results in Figure 1, where the histogram of the money distribution is plotted along with the theoretical Boltzmann-Gibbs distribution.

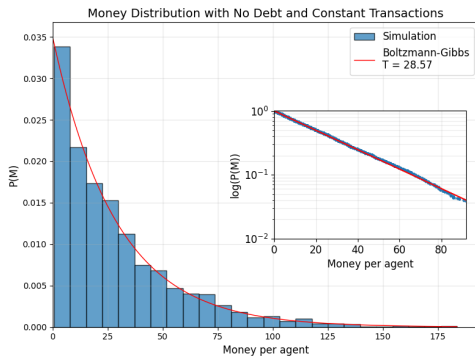


Figure 1: The histogram shows the money distribution of agents after a 10^6 number of transactions, while the red line represents the theoretical Boltzmann-Gibbs distribution. The simulation was performed with $N = 3500$, $M = 10^5$, and $\Delta m = 1$. Agents in this scenario can't have debt.

3.2 Money Distribution with Debt

The situation now is similar but in this case the agents can have negative balances up to a maximal threshold debt (md). As shown in Fig. 2, after

many interactions, the population seems to follow a Boltzmann-Gibbs distribution.

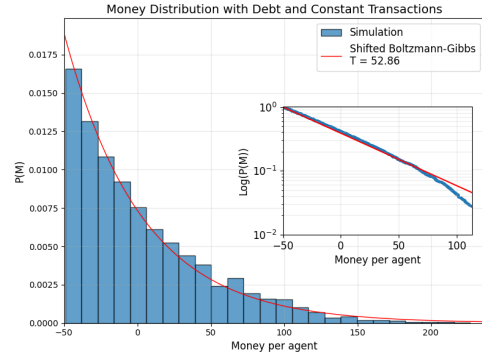


Figure 2: The histogram shows the money distribution of agents after a 10^7 number of transactions, while the red line represents the theoretical Boltzmann-Gibbs distribution. The simulation was performed with $N = 3500$, $M = 10^4$, and $\Delta m = 1$. Agents in this scenario can have negative balances and the maximal debt is $md = 50$.

3.3 Money Distribution with Proportional money transfers

Let's now consider a scenario where agents exchange only a fraction γ of their money. Each agent can exchange only a fraction of their money, which is determined by the saving propensity. The results of the simulation are shown in Fig. 3, where the histogram of the money distribution is plotted along with the theoretical Gamma distribution.

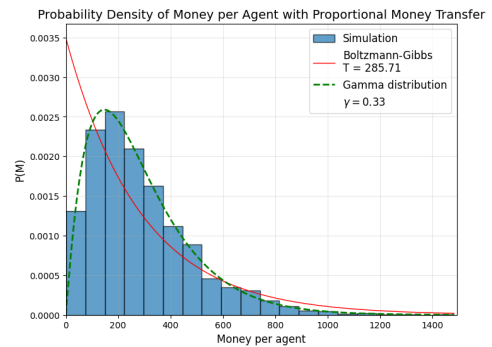


Figure 3: The histogram shows the money distribution of agents after 10^6 number of transactions, while the green line represents the theoretical Gamma distribution and the red line represents the Boltzmann-Gibbs distribution with such temperature. The simulation was performed with $N = 3500$, $M = 10^6$, and $\gamma = 1/3$. Agents in this scenario can exchange only a fraction of their money, determined by the saving propensity γ .

Another simulation was performed with multiple

values of γ to see how the distribution changes with different saving propensities. The results are shown in Fig. 4, where the number of agents N and the total money M are kept constant, while the saving propensity γ is varied.

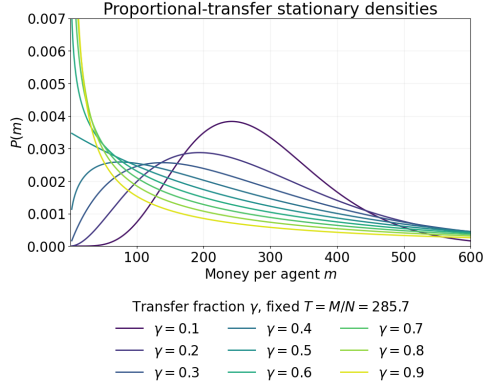


Figure 4: The histogram shows the stationary distributions for different values of γ . The simulations were performed with $N = 3500$, $M = 10^6$, and γ varying from 0.1 to 0.9.

It is possible to see that as the saving propensity γ increases, the distribution becomes exponential like, showing that if agents can exchange a larger fraction of their money, the distribution approaches the Boltzmann-Gibbs form.

3.4 Stochastic process

In this section, we present the results of simulating the stochastic process described in Eq. (14). The process is defined by the stochastic differential equation 33. The simulations runs $N = 30,000$ trajectories, all initialized at $\tilde{w}_i(0) = 1$, with $J = \sigma = 0.5$ and time step $\Delta t = 10^{-3}$ until $t = 40$ (40,000 steps). At step n , the drift substep is integrated exactly,

$$\tilde{w}_{i,n}^* = 1 + (\tilde{w}_{i,n} - 1)e^{-J\Delta t},$$

then the multiplicative-noise substep is applied exactly:

$$\tilde{w}_{i,n+1} = \tilde{w}_{i,n}^* \exp\left(\sqrt{2\sigma^2\Delta t} Z_{i,n} - \sigma^2\Delta t\right),$$

where the $Z_{i,n} \sim \mathcal{N}(0, 1)$ are independent standard normal variables. The terminal distribution was compared with the stationary inverse-gamma solution of the Fokker-Planck equation (34), given

by Eq. (35), with $\alpha = 1 + J/\sigma^2$ and $\beta = J/\sigma^2$. Because trajectories are simulated independently, their sample mean is not constrained to equal one exactly. In Fig. 5, we show the histogram of the terminal distribution of $\tilde{w}$, along with the theoretical inverse-gamma distribution.

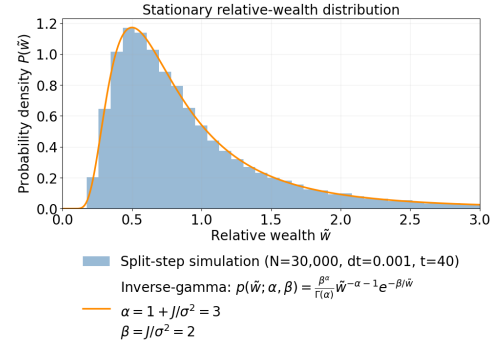


Figure 5: The histogram shows the stationary distribution of relative wealth $\tilde{w}$ after $N = 30,000$ trajectories, while the orange line represents the theoretical inverse-gamma distribution. The simulation was performed with $J = \sigma = 0.5$, $\Delta t = 10^{-3}$, and $t = 40$.

In Fig. 6 it is possible to see how the shape of the inverse-gamma like distribution changes with different values of σ while keeping J constant.

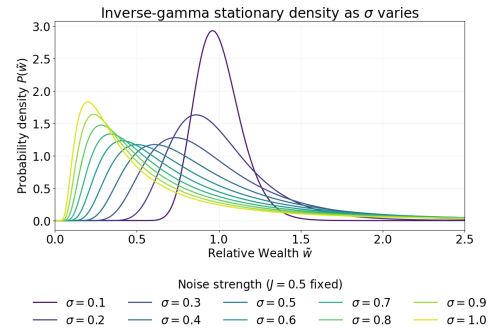


Figure 6: Different shapes of the stationary distribution of relative wealth $\tilde{w}$ for different values of σ while keeping J constant. The simulation was performed with $J = 0.5$.

4 Conclusion

In the absence of detailed knowledge of the microscopic dynamics governing economic exchanges, statistical mechanics provides a useful framework for studying the collective behavior of monetary systems. By treating agents as interacting particles and money as a conserved quantity, this work

showed how simple agent-based models can reproduce characteristic equilibrium distributions.

The analysis further illustrates how macroscopic properties of an economic system can emerge from simple microscopic rules governing individual transactions. In particular, the conservation of money and the stochastic redistribution of wealth are sufficient to generate well defined stationary distributions, demonstrating that collective statistical properties do not necessarily require a detailed description of individual economic behavior. This provides a useful analogy with physical systems, where macroscopic equilibrium laws emerge from the interaction of a large number of microscopic degrees of freedom.

From this perspective, the statistical-mechanical approach provides a bridge between microscopic agent-based descriptions and macroscopic economic observables. The resulting models remain highly idealized and do not capture many important features of real economies, including heterogeneous preferences, production, credit, taxation, market institutions, and correlations between agents. Nevertheless, their simplicity makes it possible to isolate fundamental mechanisms responsible for the emergence of wealth distributions and to study their consequences analytically.

More generally, these results suggest that statistical mechanics can serve not as a complete description of economic systems, but as a complementary framework for identifying universal features arising from collective interactions and stochastic dynamics. Extensions incorporating heterogeneous agents, network structure, non-conservative transactions, and correlated fluctuations could provide a more realistic description of economic systems while retaining the analytical advantages of the statistical-mechanical approach. Such developments may help clarify which properties of observed wealth distributions arise from specific economic mechanisms and which emerge more generally from the collective dynamics of many interacting agents.

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